Singapore Stock Market Outlook - RHB Research 2025-12-22: Investment Themes For 2026

Singapore Stock Market Outlook: Investment Themes For 2026

- 4 Investment themes of Singapore stocks in 2026:
    1. EQDP beneficiaries identified via a systematic screen and bottom-up selection of quality SMID-cap stocks;
    2. undervalued/underapprec ms where growth, earnings recovery, or strategic catalysts are not fully reflected in valuations;



3. building exposure to REITs (they are supported by easing funding costs and DPU growth recovery); and
4. defensive high-dividend yield stocks outside the REIT universe, offering income stability and downside resilience.



Theme 1: EQDP Screen And Our Bottom-Up Small-Cap Picks

- Policy-driven liquidity support under the EQDP is becoming an increasingly important structural tailwind for Singapore small-and mid-cap equities. Initial allocations under the programme have been deployed across selected asset managers with mandates spanning secondary market purchases, IPO participation, and capital raising activity.
- The launch of new Singapore-focused funds under the scheme signals a clear intent to broaden investor participation beyond index heavyweights and channel incremental flows into quality SMID names. With further manager appointments expected in 2Q26, and existing fund managers yet to deploy the allocated funds, the breadth and persistence of EQDP-related inflows should improve liquidity depth and valuation discovery across a wider segment of the market.
- Complementing EQDP, the introduction of the SGX **iEdge Singapore Next 50 indices (https://sginvestors.io/market/sgx-share-price-performance/iedge-singapore-next50-index-constituents)** enhances visibility for companies just below the largest benchmark constituents. These indices are designed to support both active and passive investment strategies and could catalyse additional institutional interest, particularly if exchange-traded products are developed around them.

- Together, these initiatives should help narrow valuation dispersion between large caps and the broader market, while encouraging more consistent fund flows into fundamentally sound mid-tier names.
- To capitalise on these structural tailwinds, we have refreshed our screen for high-quality SMID-cap names using the following criteria:
    1. Exclusion of STI constituents,
    2. market capitalisation between S$300m and S$3bn,
    3. minimum free float of 20%,
    4. average daily trading volume (ADTV) of at least US$0.5m over the past 20 sessions, and
    5. positive trading momentum, defined as the 20-day ADTV exceeding the 3-month average.
- Refer to the PDF report for the list of stocks. For comparison, we have also included stocks that meet the first four quantitative filters but currently exhibit weaker trading momentum, where the 20-day ADTV has fallen below the 3-month average.
- From the above list of screened stocks that meet the first four quantitative criteria, the following names fall under RHB's coverage: Marco Polo Marine (https://sginvestors.io/sgx/stock/5ly-marcopolo-marine/stock-info), Raffles Medical (https://sginvestors.io/sgx/stock/bsl-raffles-medical/stock-info), Delfi (https://sginvestors.io/sgx/stock/p34-delfi/stock-info), CSE Global (https://sginvestors.io/sgx/stock/544-cse-global/stock-info), Starhill Global REIT (https://sginvestors.io/sgx/reit/p40u-starhillgbl-reit/stock-info), CDL Hospitality Trusts (https://sginvestors.io/sgx/reit/j85-cdl-htrust/stock-info), AIMS APAC REIT (https://sginvestors.io/sgx/reit/o5ru-aims-apac-reit/stock-info), Keppel Infra Trust (https://sginvestors.io/sgx/stock/a7ru-kep-infra-tr/stock-info), StarHub (https://sginvestors.io/sgx/stock/cc3-starhub/stock-info), ESR-REIT (https://sginvestors.io/sgx/reit/j91u-esr-reit-/stock-info), Food Empire (https://sginvestors.io/sgx/stock/f03-food-empire/stock-info), Frencken (https://sginvestors.io/sgx/stock/e28-frencken/stock-info), Centurion (https://sginvestors.io/sgx/stock/ou8-centurion/stock-info), UMS (https://sginvestors.io/sgx/stock/558-ums/stock-info) and Riverstone (https://sginvestors.io/sgx/stock/ap4-riverstone/stock-info).

Our preferred small-cap picks.

- We have refreshed our SMID-cap screen to identify high-quality small-cap names best positioned to benefit from renewed investor interest and structural fund inflows. Our preferred picks include **AIMS APAC REIT (SGX:O5RU) (https://sginvestors.io/sgx/reit/o5ru-aims-apac-reit/stock-info)**, **Centurion (SGX:OU8) (https://sginvestors.io/sgx/stock/ou8-centurion/stock-info)**, **CSE Global (SGX:544) (https://sginvestors.io/sgx/stock/544-cse-global/stock-info)**, **Frencken (SGX:E28) (https://sginvestors.io/sgx/stock/e28-frencken/stock-info)**, .

Theme 2: Undervalued Or Underappreciated Stocks

- The undervalued or underappreciated stocks theme focuses on companies where share prices do not fully reflect underlying earnings resilience, recovery potential, or balance sheet strength. These names are typically weighed down by near-term execution issues, sector specific concerns, or broader macroeconomic headwinds, rather than structural deterioration. As market liquidity improves and investor risk appetite broadens into 2026, we see scope for valuation gaps to narrow, particularly for stocks with visible catalysts.
- Within our coverage universe, **ComfortDelGro (SGX:C52) (https://sginvestors.io/sgx/stock/c52-comfortdelgro/stock-info)** stands out as a clear valuation disconnect. Despite delivering resilient earnings, a credible growth outlook, and an above market dividend yield, the stock continues to trade at depressed valuation multiples. We view this as inconsistent with its improving operational momentum, suggesting scope for re-rating as earnings visibility improves.
- **Raffles Medical (SGX:BSL) (https://sginvestors.io/sgx/stock/bsl-raffles-medical/stock-info)** is another underappreciated name, where investor sentiment remains cautious due to concerns around its China operations. We see upside potential should China hospitals progress towards EBITDA breakeven, alongside optionality from balance sheet optimisation and higher dividend payouts in the absence of near-term large-scale acquisitions.
- **Thai Beverage (SGX:Y92) (https://sginvestors.io/sgx/stock/y92-thaibev/stock-info)** also features within this theme, offering above market yield and recovery-driven earnings upside as economic conditions in Thailand and Vietnam gradually improve.

Theme 3: Building Exposure In S-REITs

- Declining interest rates are set to support a recovery in yield plays in 2026, with S-REITs benefitting from lower funding costs, improved balance sheet flexibility, and a rebound in DPU growth. Attractive valuations near book value, stable yields, and Singapore's safe haven status continue to underpin investor demand amid limited income alternatives. Policy support through the Equity Market Development Programme and enhanced market visibility should further improve liquidity, reinforcing a constructive sector outlook.
- We prefer industrial > office > retail > overseas > hospitality, with **CapitaLand Ascendas REIT (SGX:A17U) (https://sginvestors.io/sgx/reit/a17u-capland-ascendas-reit/stock-info)**, **CapitaLand Integrated Commercial Trust (SGX:C38U) (https://sginvestors.io/sgx/reit/c38u-capland-intcom-t/stock-info)**, **Frasers Centrepoint Trust (SGX:J69U) (https://sginvestors.io/sgx/reit/j69u-frasers-cpt-tr/stock-info)**, **Suntec REIT (SGX:T82U) (https://sginvestors.io/sgx/reit/t82u-suntec-reit/stock-info)** and **AIMS APAC REIT (SGX:O5RU) (https://sginvestors.io/sgx/reit/o5ru-aims-apac-reit/stock-info)** as our Top Picks.

Theme 4: Stocks Offering Defensive High Dividend Yield (Ex S-REITs)

- The Singapore market provides forward dividend yield of 4.1% (as of 17 Dec), coupled with a relatively stable currency. As the market cap-weighted sector yield for S-REITs under our coverage is 5.7% for 2026F, we screened our coverage universe to hunt for high-yield options outside of REITs, based on the following criteria:
    1. The stock has a dividend yield of at least 5%,
    2. RHB's stock rating is a BUY or – at worst – NEUTRAL, and
    3. the company is expected to see a rise in earnings and/or dividends.
- Our non-REIT yield plays include **Bumitama Agri (SGX:P8Z) (https://sginvestors.io/sgx/stock/p8z-bumitama-agri/stock-info)**,

ComfortDelGro (SGX:C52) (https://sginvestors.io/sgx/stock/c52-comfortdelgro/stock-info), **DBS (SGX:D05) (https://sginvestors.io/sgx/stock/d05-dbs/stock-info)**, **First Resources (SGX:EB5) (https://sginvestors.io/sgx/stock/eb5-first-resources/stock-info)**, **StarHub (SGX:CC3) (https://sginvestors.io/sgx/stock/cc3-starhub/stock-info)**, **Thai Beverage (SGX:Y92) (https://sginvestors.io/sgx/stock/y92-thaibev/stock-info).**

Read also:

- Stock Market Strategy: From Macro Resilience To Reform-led Opportunities (https://sginvestors.io/analysts/research/2025/12/2026-market-outlook-rhb-securities-research-2025-12-22)

Above is an excerpt from a report by RHB Securities Research.
Clients of RHB may be the first to access the full PDF report @ https://www.rhbtradesmart.com/ (https://www.rhbtradesmart.com/).

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(https://www.rhbgroup.com/)

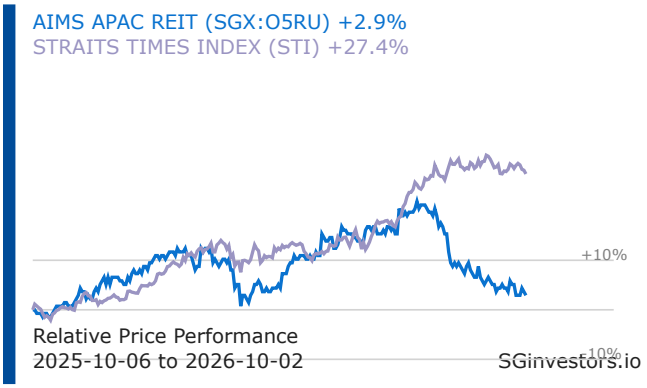
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